The bank financed internal trade to a large extent by discounting the *hundis* of approved indigenous bankers. It also provided short-term finance to textile industries by means of clean loans granted on promissory notes signed by two persons and gave loans on the security of produce stored in godowns which it controlled. While the size and resources of the Imperial Bank gave it a natural leadership of the Indian banking system, there were doubts if a commercial bank could be trusted to discharge these responsibilities in a fitting manner. Despite extreme seasonal fluctuations of its bank rate in the initial years, (due largely to a system in which banking and currency reserves were under two separate entities), the Imperial Bank did succeed in bringing about a uniform advance rate which cut across boundaries throughout British India. Easy access to government funds and the official support the bank enjoyed enabled it to lend at a rate lower than the ones in the market. The remittance facilities provided by the bank through a large network of offices also considerably helped in the integration of the country's money market and reduced the seasonal and regional variation in rates.[26]

At the time of the establishment of the bank, it was expected that the bank would inspire confidence in the public and foster the banking habit and thus mobilize the capital of the country. With its numerous branches, a larger and better distributed working capital, and a fuller and more elastic use of government balances, it was expected to be able to better finance the internal trade.[27]

During 1921–28, the Imperial Bank pursued a vigorous policy of opening new branches, especially in places where there were none. In 1928, it had 202 branches as against seventy in 1920, i.e. more than twice the number of the branches of all the exchange banks taken together and more than one-third of those of the Indian banks. Its deposits amounted to one-third of the total banking deposits in India. Few new branches were opened during 1929–33 as some of the branches had not reached a profit-earning stage and the bank was keen to consolidate its existing branches before opening new ones. However, between 1934 and 1945, it increased its branches from 202 to 433.[28]

The bank financed the movement of a large portion of crops by means of advances against stocks and the discount of bills. Moreover, it succeeded in reducing the difference between its own *hundi* rate and the bazaar *hundi*